UPSC EPFO · APFC RECRUITMENT TEST · FOUNDATION LAYER · MODULE 6 · CHAPTER F6.1

Accounting Fundamentals — The Foundation Track

Chapter F6.1 — From Zero: What Accounting Is, the Equation That Never Breaks, Double Entry, the Books, and the Trial Balance

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Chapter	**Chapter F6.1**
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NOTE · HOW TO USE THIS DOCUMENT

This chapter assumes you know **nothing** about accounting. It does not begin with journal entries, because that would already assume you know what a debit is and why there must be two of them. It begins with the problem accounting was invented to solve, builds the one equation everything else rests on, and only then reaches debits, credits, books and the trial balance.

If you already know the accounting equation and can state the rules of debit and credit cold, skip to **Section 6** — the trial balance and error types — which is the highest-yield material in the chapter.

You have one genuine advantage here that most candidates do not: you work in a bank. Section 4 uses that directly, including the one place where banking intuition actively misleads you.

HIGH YIELD · WHY THIS MODULE EXISTS AT ALL

Accounting and Auditing produced **zero questions in 2015** and then **14 in 2023** and **9 in 2025** (PYQ-DERIVED, Blueprint §3.1). It appeared from nothing and is now a permanent fixture of roughly 10–14 questions — about 32.5 planning marks, level with Polity.

Any preparation strategy built on the 2015 paper alone would miss this block completely. It also has **very high certainty** (Blueprint §10.1): accounting answers are definite rules, not judgement calls. That combination — large, stable, and objectively answerable — is why Module 6 gets 30 hours and goes first among your remaining modules.

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0. How This Chapter Works

0.1 An honest note on the PYQ evidence for this module

Before anything else, so you know exactly what you are being told.

What I can tell you	Evidence label
Accounting + Auditing was 0 questions in 2015, **14 in 2023**, 9 in 2025	PYQ-DERIVED
Auditing was tested in 2023 partly through a *"which one is not correct"* item on **audit scope**	PYQ-DERIVED
The paper's overall style mix: ~45% direct single-fact, ~20% "not correct", ~20% multi-statement, ~15% numerical	PYQ-DERIVED
Trial balance and error types, accounting standards and assumptions, capital vs revenue, provisions, goodwill and inventory valuation are the high-yield areas	ANALYTICAL ESTIMATE
The topic-by-topic split of those 14 questions	**Not available to me**

IMPORTANT · WHAT I WILL NOT DO

I do **not** have a question-by-question classification of the 14 accounting questions from 2023. So I will not print a table telling you "trial balance = 3 questions, goodwill = 2 questions." Any source that gives you that breakdown without showing you the paper is guessing.

What follows is therefore **weighted by conceptual load-bearing capacity**, not by a fabricated frequency count: topics that everything else depends on, and topics the Blueprint's high-yield list names explicitly, get the most space. Where I rank a topic, it is labelled an Analytical Estimate.

0.2 Chapter priority and the six sessions

Overall chapter priority: ★★★★★. Nothing later in Module 6 — final accounts, ratio analysis, cash flow, share capital, auditing — is learnable without this chapter. It is the load-bearing floor.

STUDY SESSION · CHAPTER F6.1 — THE SIX SESSIONS

Each session is about 45 minutes and ends with a **CHECK YOURSELF** box. Do not move on until you can answer it without looking up.

1. **Session 1** — Why accounting exists; book-keeping vs accounting; who reads accounts (§1)
2. **Session 2** — The accounting equation, and why it can never break (§2) ★★★★★
3. **Session 3** — The vocabulary, defined properly (§3)
4. **Session 4** — Double entry and the rules of debit and credit (§4) ★★★★★
5. **Session 5** — The books: journal, ledger, subsidiary books, cash book (§5)
6. **Session 6** — Trial balance and error types (§6) ★★★★★ **highest yield in the chapter**

Then the graded practice in §7 — 40 questions in three levels. Budget two sessions for it. That is eight sessions, so roughly **four days** at your two hours a day.

1. Session 1 — Why Accounting Exists At All ★★★★☆

Start with the problem, because the whole subject is one long answer to it.

A man runs a business. Money comes in, money goes out, goods arrive, customers promise to pay later, he promises to pay a supplier next month, he takes some cash home for himself. At the end of the year he wants to answer two questions:

1. **Did I make a profit or a loss?**
2. **What do I own, and what do I owe?**

He cannot answer either from memory, and he cannot answer them from a bag of receipts. He needs a **system** — one that records every event in a fixed form, so that at any moment the two questions have a single defensible answer. That system is accounting.

1.1 Book-keeping, accounting, accountancy — three words, three scopes

The exam separates these, and candidates routinely treat them as synonyms.

Term	What it covers	Nature of the work
Book-keeping	Identifying, recording and classifying transactions	Routine, clerical, procedural
Accounting	Book-keeping **plus** summarising, analysing, interpreting and **communicating** results	Analytical, judgement involved
Accountancy	The whole body of knowledge, principles and professional practice	The discipline itself

Book-keeping is a part of accounting; accounting is a part of accountancy

The standard sequence of the accounting process — worth memorising as a chain, because a sequence question is a natural format here:

Identify » **Record** (journal) » **Classify** (ledger) » **Summarise** (trial balance) » **Analyse and interpret** » **Communicate** (final accounts)

1.2 The objectives, and the limits

Objectives. Maintain systematic records; ascertain profit or loss; ascertain financial position; ascertain solvency; provide information to users; and act as legal evidence.

Limitations — examined more often than candidates expect, because they make good "not correct" options:

- Records only what can be expressed **in money**. Staff morale, a strong brand, a bad manager: all invisible

- Uses **historical cost**, so a building bought in 1990 sits at its 1990 price
- Allows **personal judgement** — depreciation method, inventory valuation — so two honest

accountants can produce two different profits

- Can be manipulated by **window dressing**
- Ignores **price-level changes** (inflation)

1.3 The three branches, and who reads the output

Branch	Question it answers	Primary audience
Financial accounting	What was the profit, and what is the financial position?	External parties
Cost accounting	What did each unit, job or process cost?	Internal management
Management accounting	What should we decide?	Internal management

Users split into two groups, and the distinction matters because it explains *why* accounting is regulated at all:

- **Internal** — owners, management, employees
- **External** — lenders and creditors, investors, **government and tax authorities**, regulators,

researchers, the public

> **FROM YOUR OWN WORLD · YOU ARE ALREADY AN EXTERNAL USER, PROFESSIONALLY**
>
> When SBI appraises a loan proposal, the borrower's balance sheet and profit-and-loss account are the evidence. You have almost certainly read a balance sheet to form a view on whether someone can repay.
>
> That is exactly the "external user" role in the table above, and it is the reason accounts must follow common rules: an outsider who did not witness the transactions has to be able to rely on them. Keep that lens on for the whole module. Accounting is not arithmetic for its own sake — it is the production of evidence that a stranger can trust.

WHY THIS EXISTS · WHY AN APFC NEEDS ACCOUNTING, CONCRETELY

This is not a syllabus filler head. In a Section 7A inquiry you determine what an employer owes in provident fund contributions. The evidence is the employer's own books — wage registers, ledgers, balance sheets.

An employer who wants to suppress liability does it by **misclassifying** things: recording part of wages under a head that looks non-contributory, capitalising something that was really an expense, or routing payments through an account that hides their nature. Detecting that requires you to know what a correct classification looks like.

The auditing half of this module (F6.7) is the same skill formalised. Which is why the syllabus pairs "Accounting and Auditing" with "Industrial Relations, Labour Laws, Insurance" under a single head.

CHECK YOURSELF · SESSION 1

1. Distinguish book-keeping, accounting and accountancy in one sentence each
2. State the six stages of the accounting process in order
3. Give four limitations of accounting
4. Name the three branches and the audience each serves
5. Why must accounts follow common rules rather than whatever suits the owner?

2. Session 2 — The Accounting Equation ★★★★★

Everything in this module is a consequence of one identity. Learn it properly here and the rest of the module stops requiring memory.

2.1 Building it rather than stating it

A business has **resources** it uses — cash, stock, machinery, money owed to it by customers. Call these **assets**.

Every rupee of those resources came from somewhere. There are only two possible sources:

1. **Outsiders** — a bank loan, a supplier who has not been paid yet. Call these **liabilities**
2. **The owner** — money he put in, plus profits left in the business. Call this **capital**

There is no third source. A rupee of assets cannot arrive from nowhere. Therefore:

> **Assets = Liabilities + Capital**

Rearranged, it also tells you what the owner is actually worth:

> **Capital = Assets - Liabilities**

And expanded to take in the year's trading:

> **Assets = Liabilities + Capital + Revenues - Expenses - Drawings**

> **FROM YOUR OWN WORLD · THIS IS A CONSERVATION EQUATION**
>
> As a Mechanical Engineer you have written this equation a hundred times under other names. It is a **balance**: mass in equals mass out plus accumulation; sum of forces equals zero.
>
> The accounting equation is the same species of statement. It is **not** a law discovered about businesses — it is an identity guaranteed by construction, because both sides describe the same rupees from two directions. Assets say *what the money became*. Liabilities plus capital say *where the money came from*.
>
> Which gives you the single most useful diagnostic in the subject: **if your equation does not balance, you have not discovered an interesting fact about the business. You have made a recording error.** Exactly as a force balance that fails means you dropped a term, not that Newton was wrong.

2.2 Watching it survive five transactions

Every transaction changes at least two items and leaves the identity intact. Work through these slowly; this table is the whole of double entry before the jargon arrives.

#	Transaction	Effect	Assets	=	Liab.	+	Capital
1	Owner starts business with ₹5,00,000 cash	Cash (+), Capital (+)	5,00,000	=	0	+	5,00,000
2	Buys machinery for ₹2,00,000 cash	Machinery (+), Cash (-)	5,00,000	=	0	+	5,00,000
3	Buys goods ₹80,000 on credit	Stock (+), Creditors (+)	5,80,000	=	80,000	+	5,00,000
4	Pays salary ₹20,000 cash	Cash (-), Capital (-) (expense)	5,60,000	=	80,000	+	4,80,000
5	Owner withdraws ₹10,000 for personal use	Cash (-), Capital (-) (drawings)	5,50,000	=	80,000	+	4,70,000

The identity holds after every single transaction — never at the end only

Three things to extract from that table, each of which is examinable:

1. **Transaction 2 changed only the asset side.** One asset became another. Total assets unchanged. A transaction need not touch both sides of the equation
2. **Transaction 4 reduced capital.** An expense is not a mysterious third category — it is a reduction in the owner's claim. This is why expenses eventually land in the profit and loss account, which lands in capital
3. **Transaction 5 also reduced capital**, but it is *not* an expense. Drawings are the owner taking his own money back. Confusing drawings with expenses is a first-week error that survives into the exam

BEGINNER MISTAKE · THREE THAT CAUSE REAL DAMAGE LATER

1. **Treating capital as the owner's money sitting in the business.** Capital is the business's **liability towards the owner**. The business and the owner are separate persons — this is the *business entity concept*, and it is why the owner's household expenses never enter the business's books
2. **Confusing drawings with expenses.** Salary paid is an expense and reduces profit. Cash taken home is drawings and does **not** reduce profit — it reduces capital directly
3. **Confusing profit with cash.** Transaction 3 created ₹80,000 of stock and ₹80,000 of debt with no cash movement at all. A business can be profitable and have no cash. This is why a cash flow statement exists as a separate document (F6.5)

MEMORY TECHNIQUE · THE TWO-DIRECTION TEST

For any transaction, ask two questions in this fixed order and you will never mis-record one:

1. **What did the business get?** (an asset arrived, or an expense was incurred)
2. **Where did it come from?** (cash went out, a liability arose, or the owner contributed)

Question 1 gives you the debit. Question 2 gives you the credit. You are answering "what became of it" and "where did it come from" — the two directions of the same rupee.

CHECK YOURSELF · SESSION 2

1. State the accounting equation in all three forms
2. If assets are ₹8,00,000 and liabilities ₹3,00,000, what is capital?
3. Give a transaction that changes only the asset side of the equation
4. Why does paying salary reduce capital? Why is drawings not an expense?
5. Explain why a failure to balance is always your error, never a finding

3. Session 3 — The Vocabulary, Defined Properly ★★★★☆

Accounting words are technical. In ordinary speech "income", "revenue" and "profit" are loose synonyms; here they are three different things. Most single-fact questions in this block are really vocabulary questions.

Term	Precise meaning	Watch for
Asset	A resource owned, with future economic benefit	Tangible (cash, building) vs **intangible** (goodwill, patents)
Liability	An amount owed to an outsider	Current (within a year) vs non-current
Capital	The owner's claim; the business's liability to the owner	Also called owner's equity, net worth
Drawings	Cash or goods taken by the owner for personal use	Reduces capital; **not** an expense
Revenue	Amount earned from normal operations — sales, fees	Gross inflow, before deducting costs
Expense	Cost incurred to earn revenue	Consumed within the period
Income	Revenue **minus** the expense of earning it; also non-operating gains	Not a synonym for revenue
Profit	Excess of total revenue over total expenses	Gross profit vs net profit
Debtor	A person who **owes** the business money	Asset. Also "receivable"
Creditor	A person to whom the business **owes** money	Liability. Also "payable"
Purchases	Buying of **goods meant for resale** only	Buying machinery is *not* "purchases"
Sales	Sale of goods dealt in, in the ordinary course	Selling old furniture is *not* "sales"
Stock / Inventory	Goods unsold at a given date	Opening vs closing stock
Voucher	The documentary evidence of a transaction	Every entry needs one

COMMON UPSC TRAP · PURCHASES AND SALES ARE NARROW WORDS

A furniture dealer who buys chairs to sell records **Purchases**. The same dealer buying a computer for his office records **Office Equipment** — not Purchases, because it is not for resale.

The same asymmetry applies to Sales. This single distinction drives a whole family of questions — including which subsidiary book a transaction belongs in (§5.3), where the credit purchase of *furniture* goes into the Journal Proper while the credit purchase of *goods* goes into the Purchases Book.

3.1 The two discounts — a favourite because they behave differently

	Trade discount	Cash discount
Why given	On bulk quantity, or to a trader	To encourage **early payment**
When	At the time of sale	At the time of **payment**
Shown	Deducted on the face of the invoice	Recorded separately in the books
Recorded in books?	**No separate entry** — books carry the net figure	**Yes** — Discount Allowed (expense) or Discount Received (income)

MUST MASTER · THE DISCOUNT DISTINCTION

Trade discount never appears as an account. Cash discount always does.

Discount **Allowed** is an expense (you gave it up, so debit it). Discount **Received** is an income (credit it). And because cash discount is settled with payment, it is recorded in the **cash book** — which is why the double-column and triple-column cash books have a discount column at all (§5.4).

The trap option is any statement implying trade discount is entered in the books, or that both discounts are treated alike.

CHECK YOURSELF · SESSION 3

1. Distinguish revenue, income and profit
2. Debtor or creditor — which is an asset, and what is each also called?
3. A stationery shop buys a delivery van on credit. Is that "purchases"? Why not?
4. Give four differences between trade discount and cash discount
5. Discount Allowed — debit or credit, and why?

4. Session 4 — Double Entry and the Rules of Debit and Credit ★★★★★

Now the mechanics. This session is where candidates either build a reliable instinct or a permanent confusion, so it is worth going slowly.

4.1 The dual aspect, and where the system came from

Every transaction has **two aspects**, equal and opposite. Money leaves one place and arrives at another; an obligation is created as a benefit is received. Recording both is **double entry**, and it is the practical expression of the accounting equation.

- **Debit** (Dr) — the **left** side of an account. From Latin *debere*
- **Credit** (Cr) — the **right** side. From Latin *credere*

KNOW · THE ONE HISTORICAL FACT WORTH CARRYING

The first published description of the double-entry system is credited to **Luca Pacioli**, an Italian mathematician, in **1494**, in his work *Summa de Arithmetica, Geometria, Proportioni et Proportionalita*. He did not invent the practice — Venetian merchants were already using it — he codified it.

That is the level of historical detail worth holding: **name, 1494, Italian, codified rather than invented.**

IMPORTANT · DEBIT DOES NOT MEAN DECREASE

Strip out every association you have with the words. Debit and credit are **positions**, left and right. They do not mean good and bad, increase and decrease, or in and out.

Debit increases an asset and decreases a liability. Credit does the reverse. The word itself carries no direction — only the *type of account* it is applied to does. Everything in §4.2 and §4.3 exists to fix which is which.

4.2 The traditional (British) classification — three kinds of account

Still examined, and still the framing most Indian textbooks use, so you need both this and §4.3.

Class	What it covers	The golden rule
Personal	Persons and organisations: natural persons, firms, companies, **banks**	**Debit the receiver, credit the giver**
Real	Assets and property. Tangible: cash, building, stock. Intangible: goodwill, patents, trademarks	**Debit what comes in, credit what goes out**
Nominal	Expenses, losses, incomes, gains	**Debit all expenses and losses, credit all incomes and gains**

The three golden rules — the most quoted lines in elementary accounting

A fourth category hides inside "personal" and is a reliable exam target:

> **MUST MASTER · REPRESENTATIVE PERSONAL ACCOUNTS**
>
> An account that looks like an expense but actually **represents a person** is a *representative personal account*. Examples:
>
> - **Outstanding Salary** — represents the employees you still owe. A **liability**
> - **Prepaid Insurance** — represents the insurer who owes you cover. An **asset**
> - **Capital** and **Drawings** — represent the owner
>
> Why it is asked: "Outstanding Salary A/c" contains the word *salary*, which pulls you toward **nominal**. It is **personal**. The test is not the word in the title — it is whether the account stands for a person or party.

4.3 The modern (American) classification — five kinds, and the cleaner rule

This is the approach to use in the exam hall, because it is mechanical and cannot be talked out of.

Account type	Increase	Decrease
Asset	Debit	Credit
Expense / Loss	Debit	Credit
Liability	Credit	Debit
Capital	Credit	Debit
Revenue / Income / Gain	Credit	Debit

Five categories. Two debit-to-increase, three credit-to-increase

MEMORY TECHNIQUE · "AE-DR" — TWO IN, THREE OUT

Only **two** types increase by debit: **A**ssets and **E**xpenses. **AE = Debit to increase.**

Everything else — Liability, Capital, Revenue — increases by credit. Learn the short list of two, and the other three follow by elimination.

Cross-check against the equation: Assets sit on the **left** of `Assets = Liabilities + Capital`, and debit is the **left** side. Left-side items increase by left-side entries. Expenses join them because they reduce capital, and reducing a credit-increase item means debiting it. The mnemonic is not arbitrary — it is the equation's geometry.

FROM YOUR OWN WORLD · THE ONE PLACE BANKING WILL MISLEAD YOU

This is the most valuable paragraph in the chapter for you specifically, and it catches almost every banker who studies accounting.

When SBI **credits** a customer's savings account, the customer's balance goes **up**. So your professional instinct says: *credit means more*.

Now look at it from the two sets of books.

	In SBI's books	In the customer's books
What the account is	A **deposit** — money SBI owes the customer	A **bank balance** — an asset
Type	**Liability**	**Asset**
Customer deposits ₹10,000	**Credit** the customer (liability (+))	**Debit** Bank A/c (asset (+))

Both are correct, and they are mirror images. Your bank statement is written **from the bank's point of view**, which is exactly opposite to the customer's own books.

So in the exam, never reason from a bank statement. Ask instead: whose books am I writing, and what type of account is this *to them*? The habit that makes you good at your job is the habit that will cost you marks here unless you consciously switch frames.

4.4 Worked entries — the two-question method applied

Apply §2.2's two questions: *what did the business get?* (debit) and *where did it come from?* (credit).

Transaction	Debit	Credit	Reasoning
Started business with ₹5,00,000 cash	Cash A/c	Capital A/c	Asset (+) debit; owner's claim (+) credit
Bought goods ₹40,000 for cash	Purchases A/c	Cash A/c	Expense-natured (+) debit; asset (-) credit
Bought goods ₹80,000 from Mehta on credit	Purchases A/c	Mehta A/c	No cash moved; a creditor arose
Sold goods ₹60,000 for cash	Cash A/c	Sales A/c	Asset (+) debit; revenue (+) credit
Paid salary ₹20,000	Salary A/c	Cash A/c	Expense (+) debit; asset (-) credit
Paid Mehta ₹80,000	Mehta A/c	Cash A/c	Liability (-) debit; asset (-) credit
Owner withdrew ₹10,000	Drawings A/c	Cash A/c	Capital (-) debit; asset (-) credit
Bought machinery ₹2,00,000 on credit from Rao	Machinery A/c	Rao A/c	Asset (+) debit. **Not** Purchases

Note the last row — the classification trap from §3 in entry form

COMMON UPSC TRAP · "PAID MEHTA" IS NOT AN EXPENSE

Paying a creditor feels like an expense because cash leaves. It is not. The expense happened when the goods were bought; paying merely **settles the liability**.

Debit Mehta (liability down), credit Cash (asset down). Both sides of the equation shrink and the profit is untouched. Any option treating settlement of a creditor as an expense is wrong — and this same logic is why cash and profit differ.

CHECK YOURSELF · SESSION 4

1. Who described double entry first, in what year, and did he invent it?
2. State the three golden rules of the traditional classification
3. Classify: Goodwill, Outstanding Rent, Discount Received, Drawings, Bank
4. Which two account types increase by debit? Tie it to the equation's geometry
5. A customer deposits cash at your branch. Give the entry in SBI's books and in the customer's books
6. Journalise: bought machinery on credit from Rao. Why is Purchases A/c wrong?

5. Session 5 — The Books ★★★★★

You now know how to decide an entry. This session covers where it is written. The questions here are mostly "which book records this transaction", which is pure classification.

5.1 Journal — the book of original entry

The **journal** is where a transaction is first recorded, in date order, in double-entry form. Hence *book of original entry* or *prime entry*.

Format — five columns:

Date	Particulars	L.F.	Debit (₹)	Credit (₹)

The debited account is written first; the credited account below it, indented, prefixed "To". Below each entry comes a **narration** — a short explanation in brackets. Recording an entry is **journalising**.

- A **simple** entry has one debit and one credit
- A **compound / combined** entry has more than one on either side
- An **opening entry** brings forward last year's closing balances at the start of a new year

5.2 Ledger — the book of final entry

The **ledger** is the set of individual accounts. Transferring entries from journal to ledger is **posting**. The ledger is the **principal book** of accounts, also called the book of *final* entry.

Each account is balanced periodically: the balance carried down is **c/d**, and it reappears next period as balance brought down, **b/d**.

BEGINNER MISTAKE · ORIGINAL VERSUS FINAL

- **Journal** = book of **original** / prime entry — where a transaction is recorded **first**
- **Ledger** = book of **final** entry — the **principal** book, where entries are collected by

account

Options that swap these two are among the easiest marks in the block, and among the easiest to lose by reading quickly.

5.3 Subsidiary books — why one journal is not enough

A business with thousands of credit sales cannot journalise each one. So repetitive transactions are split into **subsidiary books** (special journals), and only the residue goes to the journal proper.

Book	Records	Also called
Cash Book	All cash and bank receipts and payments	—
Purchases Book	**Credit purchases of goods** only	Purchases Day Book
Sales Book	**Credit sales of goods** only	Sales Day Book
Purchases Return Book	Goods returned **to** suppliers	**Returns Outward**
Sales Return Book	Goods returned **by** customers	**Returns Inward**
Bills Receivable Book	Bills received	—
Bills Payable Book	Bills accepted	—
Journal Proper	Everything not covered above	Residual journal

MUST MASTER · THE THREE EXCLUSIONS THAT GENERATE QUESTIONS

1. **Purchases Book takes credit purchases of GOODS only.** Cash purchases go to the Cash Book. Credit purchase of an **asset** (furniture, machinery, computer) goes to the **Journal Proper**
2. **Returns Outward = purchases returns** (goods going out, back to the supplier). **Returns Inward = sales returns** (goods coming in, back from the customer). The direction is named from the **goods'** movement, not the money's — which is why they feel backwards
3. **Journal Proper is the residual book.** Opening entries, closing entries, adjusting entries, transfer entries, rectification entries, and credit purchase or sale of assets

Supporting documents: a **debit note** is sent to a supplier when goods are returned to him; a **credit note** is sent to a customer when he returns goods.

5.4 The cash book — the one with a dual character

Type	Columns
Single / simple column	Cash only
Double column	Cash + bank, **or** cash + discount
Triple column	Cash + bank + discount
Petty cash book	Small routine payments, run on the **imprest system**

Under the **imprest system** the petty cashier begins each period with a fixed float and is reimbursed exactly what he spent, restoring the float.

MUST MASTER · TWO CASH-BOOK FACTS THAT ARE ASKED DIRECTLY

1. **The Cash Book is both a journal and a ledger.** A journal, because transactions are recorded in it first from source documents; a ledger, because it *is* the cash account and needs no separate one. This dual nature is a standard single-fact question
2. **A contra entry** affects both cash and bank — cash deposited into bank, or cash withdrawn from bank for office use. It is marked **"C"** in the L.F. column and is **not posted** to the ledger, because both aspects already sit inside the cash book

Note the qualifier on withdrawal: cash withdrawn **for office use** is a contra entry. Cash withdrawn **for the owner's personal use** is **drawings**, not contra. One word in the stem flips the answer.

CHECK YOURSELF · SESSION 5

1. Which book is the book of original entry? Which is the principal book?
2. Where is the credit purchase of a computer recorded, and why not the Purchases Book?
3. Returns Inward and Returns Outward — which is which, and what names the direction?
4. Why is the Cash Book both a journal and a ledger?
5. What is a contra entry, how is it marked, and why is it not posted?
6. Debit note or credit note — which goes to a supplier?

6. Session 6 — Trial Balance and Error Types ★★★★★

The highest-yield section in the chapter (Analytical Estimate — Blueprint §7.1 names "trial balance and error types" in the top high-yield list). It is also finite: the error classification is a closed set, and closed sets are where marks are cheap.

6.1 What a trial balance is, and the one thing it does not do

A **trial balance** is a **statement** — not an account — listing the debit and credit balances of all ledger accounts on a particular date, to test whether total debits equal total credits.

It can be prepared three ways: the **totals** method, the **balances** method (most common), or the **totals-cum-balances** method.

> **MUST MASTER · WHAT AGREEMENT PROVES, AND WHAT IT DOES NOT**
>
> A trial balance that agrees proves **only the arithmetical accuracy** of the ledger.
>
> It does **not** prove that the books are correct. An entry can be complete, balanced, arithmetically perfect — and posted to entirely the wrong account, or omitted altogether, and the trial balance will still agree.
>
> This is the single most examinable sentence in the section, and the natural stem for a "which one is **not** correct" question. The wrong option always overstates what agreement proves.

> **FROM YOUR OWN WORLD · IT IS A DIMENSIONAL CHECK**
>
> You already know this logic from engineering. When you check an equation for **dimensional homogeneity** and both sides come out in newtons, you have learned something real — but you have not proved the equation right. You could have the wrong coefficient, the wrong sign, or a term missing that happens to share dimensions.
>
> Dimensional consistency is **necessary but not sufficient**. The trial balance is the accounting equivalent: a necessary check that is nowhere near sufficient. Hold that analogy and you will never over-claim for it in an exam.

6.2 The four types of error

Type	What it is	Example
Omission	A transaction left out. **Complete** (both sides) or **partial** (one side)	A credit sale never recorded at all
Commission	Recorded, but wrongly — wrong amount, wrong side, wrong account of the same class, wrong totalling or carry-forward	₹540 posted as ₹450; debited to Ram instead of Shyam
Principle	Recorded in violation of an accounting principle — typically **capital treated as revenue** or vice versa	Machinery purchase debited to Purchases A/c; wages paid to install machinery debited to Wages A/c
Compensating	Two or more errors whose effects **cancel out**	One account over-debited ₹500, another over-credited ₹500

MUST MASTER · THE FOUR ERRORS A TRIAL BALANCE CANNOT CATCH

Learn this list as a list. It is the most reliably examinable content in the section, and the question is usually phrased "which of the following will **not** be disclosed by the trial balance".

1. **Errors of complete omission** — neither side was recorded, so nothing is out of balance
2. **Errors of principle** — the entry is balanced, just classified wrongly
3. **Compensating errors** — the effects offset
4. **Errors of commission where the amount is correct but posted to a wrong account of the same class** — debiting Ram instead of Shyam. Both are personal accounts, the total debit is unchanged

The unifying logic — and the reason you do not need to memorise blindly: **a trial balance detects only errors that make total debits differ from total credits.** Any error that keeps the two sides equal is invisible to it. Test every option against that one sentence.

Errors the trial balance *does* disclose — all of them one-sided, or arithmetical:

- **Partial omission** — one side posted, the other not
- Posting the **wrong amount** to one account only
- Posting to the **wrong side** of an account
- **Double posting** on one side
- Errors in **totalling, balancing or casting**
- Errors in **carrying forward** a total
- **Omitting a balance** from the trial balance itself

6.3 Suspense account

When the trial balance does not agree and the difference cannot be located in time, the difference is parked in a **Suspense Account** so that the final accounts can be prepared. As errors are found, they are rectified through it, and when all are found the Suspense Account closes automatically at nil.

MUST MASTER · WHICH ERRORS TOUCH SUSPENSE

- **One-sided errors** are rectified **through** the Suspense Account, because only one leg of the

entry needs correcting and the other leg must go somewhere

- **Two-sided errors** are rectified by a **complete journal entry** and do **not** involve the

Suspense Account at all

So the four errors in the box above — the ones a trial balance cannot catch — are also the ones that never touch Suspense. The two facts are the same fact seen twice: if it never unbalanced the trial balance, there is no difference for Suspense to hold.

MUST MASTER · THE DOUBLING RULE FOR WRONG-SIDE ERRORS

An amount posted to the wrong side of an account is corrected by twice the amount. One unit cancels the entry that should never have been made; a second unit makes the entry that should have been made.

So a ₹2,000 item posted to the debit of an account instead of its credit throws the trial balance out by **₹4,000**, and the rectifying entry is for ₹4,000.

This gives you a diagnostic that works backwards from the difference:

The difference is...	Look for
Twice a transaction figure	A posting on the **wrong side**
Equal to a transaction figure	A **one-sided omission**, or a balance left out of the trial balance
A **transposition** (₹540 vs ₹450 » 90; ₹1,000 vs ₹100 » 900)	Divisible by **9**

The divisible-by-nine test is a genuine shortcut: any transposition of digits produces a difference that is a multiple of 9.

THINK LIKE UPSC · HOW THIS SECTION GETS WEAPONISED

Given the paper's style mix — about 20% "not correct" and 20% multi-statement (PYQ-DERIVED, Blueprint §6) — expect these shapes:

- **Over-claiming for the trial balance.** "Its agreement proves the books are free from error."

Always false

- **A near-miss list.** Three errors that genuinely escape detection plus one one-sided error slipped

in. Test each against *does it unbalance debits and credits?*

- **Principle disguised as commission.** Debiting Machinery to Purchases is a **principle** error, not

commission, because a capital item was treated as revenue. The giveaway word is capital or asset

- **The word "only".** "Only one-sided errors are rectified through Suspense" is **correct**, which

is unusual — the examiner relies on you distrusting "only" reflexively. Read the claim, not the word

CHECK YOURSELF · SESSION 6

1. Is a trial balance an account or a statement? Name its three methods
2. What does agreement prove, and what does it not prove?
3. Name the four types of error, with one example each
4. List the four errors not disclosed by a trial balance, then state the single rule that explains all four
5. Which errors are rectified through Suspense, and which are not?
6. Machinery debited to Purchases A/c — which error, and why not commission?

7. Graded Practice — 40 Questions ★★★★★

Attempt each level in one sitting. Write your answers down before checking, and put every wrong answer in your error log. Level 3 is set at Recruitment Test standard and uses the paper's actual formats: "not correct", multi-statement with codes, matching, and sequence.

7.1 Level 1 — Recognition

Q1. The first published description of the double-entry system is credited to (a) Adam Smith (b) Henry Fayol (c) F. W. Taylor (d) Luca Pacioli

Q2. The accounting equation is (a) Assets = Liabilities + Capital (b) Assets = Liabilities - Capital (c) Capital = Assets + Liabilities (d) Liabilities = Assets + Capital

Q3. Which one of the following is a **real** account? (a) Outstanding Salary (b) Discount Received (c) Goodwill (d) Capital

Q4. Which one of the following is a **nominal** account? (a) Bank (b) Machinery (c) Prepaid Insurance (d) Rent Paid

Q5. "Outstanding Salary Account" is classified as (a) a nominal account (b) a real account (c) a representative personal account (d) a contra account

Q6. The rule for nominal accounts is (a) Debit the receiver, credit the giver (b) Debit what comes in, credit what goes out (c) Debit all expenses and losses, credit all incomes and gains (d) Debit the giver, credit the receiver

Q7. The journal is known as the (a) book of final entry (b) subsidiary ledger (c) principal book (d) book of original entry

Q8. The ledger is known as the (a) book of original entry (b) book of prime entry (c) principal book (d) memorandum book

Q9. The Cash Book is (a) a journal only (b) a ledger only (c) neither (d) both a journal and a ledger

Q10. A contra entry is marked in the L.F. column by the letter (a) C (b) T (c) B (d) X

Q11. Credit purchase of **goods** is recorded in the (a) Cash Book (b) Purchases Book (c) Journal Proper (d) Sales Book

Q12. Credit purchase of **furniture** by a stationery dealer is recorded in the (a) Journal Proper (b) Cash Book (c) Purchases Book (d) Sales Book

Q13. The Sales Return Book is also called the (a) Returns Outward Book (b) Debit Note Book (c) Bills Receivable Book (d) Returns Inward Book

Q14. A trial balance is (a) an account (b) a statement (c) a ledger (d) a subsidiary book

Q15. The three fundamental accounting assumptions are (a) consistency, materiality, prudence (b) going concern, consistency, accrual (c) entity, money measurement, cost (d) matching, realisation, disclosure

7.2 Level 2 — Understanding

Q16. A business buys machinery for cash. The effect on the accounting equation is (a) total assets increase (b) total assets decrease (c) one asset increases, another decreases; total unchanged (d) assets and capital both increase

Q17. If assets are ₹9,50,000 and liabilities ₹2,80,000, capital is (a) ₹6,70,000 (b) ₹12,30,000 (c) ₹9,50,000 (d) ₹2,80,000

Q18. The owner withdraws ₹15,000 cash for personal use. This (a) is an expense and reduces profit (b) reduces capital but is not an expense (c) reduces liabilities (d) has no effect on the equation

Q19. Under the modern classification, an increase in a liability is recorded as (a) a debit (b) a credit (c) either (d) a contra entry

Q20. Which two categories of account increase by a debit? (a) Liabilities and capital (b) Revenue and capital (c) Assets and expenses (d) Assets and revenue

Q21. Discount Allowed is (a) an income, credited (b) not recorded (c) a liability, credited (d) an expense, debited

Q22. Trade discount is (a) recorded as an expense (b) recorded as an income (c) recorded only in the cash book (d) not recorded separately; books carry the net amount

Q23. A trader pays his creditor Mehta ₹80,000. The correct treatment is (a) debit Purchases, credit Cash (b) debit Mehta, credit Cash (c) debit Cash, credit Mehta (d) debit Expenses, credit Cash

Q24. A customer deposits ₹20,000 cash into his savings account. In the **bank's** books (a) the customer's account is credited (b) the customer's account is debited (c) Cash is credited (d) Capital is debited

Q25. Cash withdrawn from the bank for the **owner's personal use** is (a) a contra entry (b) drawings (c) an expense (d) a partial omission

Q26. Prepaid Insurance is (a) a nominal account and an expense (b) a representative personal account and an asset (c) a real account and a liability (d) a contra account

Q27. Machinery purchased is wrongly debited to Purchases Account. This is an error of (a) omission (b) commission (c) principle (d) compensation

Q28. Two errors, one over-debiting an account by ₹500 and another over-crediting a different account by ₹500, constitute (a) compensating errors (b) an error of principle (c) partial omission (d) an error of duplication

Q29. Which one of the following **will** be disclosed by the trial balance? (a) Complete omission of a transaction (b) An error of principle (c) Posting ₹540 as ₹450 to one account only (d) Compensating errors

Q30. Errors rectified **through** the Suspense Account are (a) two-sided errors (b) all errors without exception (c) errors of principle (d) one-sided errors

7.3 Level 3 — Recruitment Test standard

Q31. Which one of the following statements about a trial balance is **not** correct? (a) It is a statement, not an account (b) Its agreement proves the arithmetical accuracy of the ledger (c) Its agreement proves that the books of account are free from all errors (d) It is prepared as on a particular date

Q32. Consider the following statements:

1. A trial balance detects only those errors which cause total debits to differ from total credits.
2. An error of complete omission does not affect the agreement of a trial balance.
3. Compensating errors are disclosed by a trial balance.

Which of the above statements are correct? (a) 1 and 2 only (b) 2 and 3 only (c) 1 and 3 only (d) 1, 2 and 3

Q33. Match List-I with List-II and select the correct answer using the code given below:

List-I (Error)	List-II (Example)
A. Error of principle	1. A credit sale is not recorded at all
B. Error of complete omission	2. Wages paid for installing machinery debited to Wages A/c
C. Compensating error	3. ₹200 debited to Ram instead of Shyam
D. Error of commission	4. An over-debit of ₹300 offset by an over-credit of ₹300

(a) A-2 B-1 C-4 D-3 (b) A-1 B-2 C-3 D-4 (c) A-2 B-4 C-1 D-3 (d) A-3 B-1 C-4 D-2

Q34. Which one of the following will **not** be disclosed by a trial balance? (a) Omission of a ledger account balance from the trial balance (b) An amount posted to the wrong side of an account (c) An error in carrying forward a total (d) A correct amount posted to a wrong account of the same class

Q35. Arrange the stages of the accounting process in the correct sequence:

1. Posting to the ledger
2. Preparation of final accounts
3. Recording in the journal
4. Preparation of the trial balance

(a) 3, 1, 4, 2 (b) 1, 3, 4, 2 (c) 3, 4, 1, 2 (d) 1, 4, 3, 2

Q36. Which one of the following pairs is **not** correctly matched? (a) Credit purchase of goods — Purchases Book (b) Goods returned by a customer — Returns Inward Book (c) Credit purchase of machinery — Purchases Book (d) Opening entry — Journal Proper

Q37. Consider the following statements about the Cash Book:

1. It serves as both a journal and a ledger.
2. A contra entry is posted to the ledger in the usual way.
3. Under the imprest system, the petty cashier is reimbursed the exact amount spent.

Which of the above statements are correct? (a) 1 and 2 only (b) 1 and 3 only (c) 2 and 3 only (d) 1, 2 and 3

Q38. A trader buys goods on credit for ₹90,000. Which one of the following correctly describes the effect? (a) Total assets increase by ₹90,000 and capital increases by ₹90,000 (b) Capital decreases by ₹90,000 and liabilities increase by ₹90,000 (c) Total assets are unchanged and liabilities increase by ₹90,000 (d) Total assets increase by ₹90,000 and liabilities increase by ₹90,000

Q39. Consider the following statements about the Suspense Account:

1. It is opened when a trial balance does not agree and the difference cannot be located.
2. Two-sided errors are rectified through the Suspense Account.
3. When all errors have been located and rectified, the Suspense Account shows a nil balance.

Which of the above statements are correct? (a) 1 and 2 only (b) 1 and 3 only (c) 2 and 3 only (d) 1, 2 and 3

Q40. A trial balance shows an excess of debits over credits of ₹4,000, which is transferred to a Suspense Account. It is later found that a credit purchase of ₹2,000 was posted to the **debit** of the supplier's account instead of to its credit, and that no other error exists. The rectifying entry is (a) Suspense A/c Dr ₹4,000; Supplier A/c Cr ₹4,000 (b) Suspense A/c Dr ₹2,000; Supplier A/c Cr ₹2,000 (c) Supplier A/c Dr ₹4,000; Suspense A/c Cr ₹4,000 (d) Purchases A/c Dr ₹2,000; Supplier A/c Cr ₹2,000

8. Answers and Explanations

Read every explanation, including for questions you answered correctly — the explanations teach why the wrong options are wrong, which is where the marks actually come from.

8.1 Level 1

Q	Ans	Explanation
1	d	**Luca Pacioli, 1494**, an Italian mathematician. He codified the Venetian merchants' existing practice rather than inventing it
2	a	**Assets = Liabilities + Capital.** (c) is the rearrangement done wrongly: capital is assets *minus* liabilities
3	c	**Goodwill** — an **intangible** asset, but still a real account. Real accounts are not limited to things you can touch. (a) is representative personal, (b) nominal, (d) personal
4	d	**Rent Paid** — an expense. Bank and Machinery are asset-type; Prepaid Insurance is representative personal
5	c	**Representative personal.** The word *salary* pulls you to nominal, but the account stands for the employees owed. Test the party, not the title
6	c	Debit expenses and losses, credit incomes and gains. (a) is the personal-account rule, (b) the real-account rule
7	d	Journal = book of **original** / prime entry
8	c	Ledger = **principal** book, also book of final entry
9	d	**Both.** A journal because transactions are first recorded in it; a ledger because it *is* the cash account. Frequently asked as a direct single-fact item
10	a	**"C"**, and such entries are not posted to the ledger
11	b	Purchases Book — but note it takes **credit purchases of goods only**
12	a	**Journal Proper.** Furniture is not "goods" for a stationery dealer, so it fails the Purchases Book test even though it is a credit purchase
13	d	Sales Return = **Returns Inward** (goods coming back in). Purchases Return = Returns Outward
14	b	A **statement**, not an account — a distinction the exam uses in "not correct" stems
15	b	**Going concern, consistency, accrual** (AS-1). The items in (a) are conventions, and those in (c) are concepts — a deliberate mix

8.2 Level 2

Q	Ans	Explanation
16	c	Machinery (+), Cash (-). One asset becomes another; the total is unchanged. A transaction need not touch both sides of the equation
17	a	Capital = Assets - Liabilities = 9,50,000 - 2,80,000 = **₹6,70,000**. (b) adds instead of subtracting
18	b	**Drawings reduce capital but are not an expense**, so profit is unaffected. This is the drawings-versus-expense distinction
19	b	Liabilities increase by **credit**. Only assets and expenses increase by debit
20	c	**Assets and expenses** — the "AE = Debit to increase" pair. Assets sit on the left of the equation, and debit is the left side
21	d	Discount **Allowed** is an expense you incurred, so **debit**. Discount Received is an income, credited
22	d	**Not recorded separately** — it is deducted on the face of the invoice and the books carry the net figure. Only *cash* discount gets an account
23	b	**Debit Mehta, credit Cash.** Paying a creditor settles a liability; it is not an expense. The expense arose when the goods were bought
24	a	In the **bank's** books the customer is a **liability**, so a deposit **credits** him. In the customer's own books, Bank A/c is an asset and is debited. Mirror images
25	b	**Drawings.** Cash withdrawn for **office** use is a contra entry; for **personal** use it is drawings. One word in the stem decides it
26	b	**Representative personal**, and an **asset** — it represents the insurer who owes you cover
27	c	**Error of principle** — a **capital** item treated as **revenue**. Not commission: the giveaway is that an asset was recorded as an expense
28	a	**Compensating errors** — the effects offset, so the trial balance still agrees
29	c	A wrong amount posted to **one account only** is one-sided, so debits and credits differ and the trial balance catches it. The other three are all in the "cannot catch" list
30	d	**One-sided errors** go through Suspense. Two-sided errors are corrected by a complete journal entry and never touch it

8.3 Level 3

Q	Ans	Explanation
31	c	Agreement proves **only arithmetical accuracy**. Errors of omission, principle and compensating errors all survive a perfectly agreed trial balance. The other three statements are true, which is what makes (c) the "not correct" answer
32	a	**1 and 2 only.** Statement 3 is wrong — compensating errors are precisely what a trial balance *cannot* disclose, because the effects offset. Statement 1 is the master rule that generates the whole list
33	a	**A-2** wages for installing machinery is capital expenditure wrongly treated as revenue = principle; **B-1** an unrecorded credit sale = complete omission; **C-4** offsetting over-debit and over-credit = compensating; **D-3** Ram instead of Shyam = commission
34	d	**A correct amount posted to a wrong account of the same class.** Total debits are unchanged, so nothing unbalances. (a), (b) and (c) are all one-sided or arithmetical and therefore visible
35	a	**3, 1, 4, 2** — journal, then ledger, then trial balance, then final accounts. Record » classify » summarise » report
36	c	**Credit purchase of machinery goes to the Journal Proper**, not the Purchases Book, which takes credit purchases of **goods** only. The other three pairs are correct
37	b	**1 and 3 only.** Statement 2 is wrong — a contra entry is **not** posted to the ledger, because both aspects are already inside the cash book
38	d	Stock (+) ₹90,000 (asset) and Creditors (+) ₹90,000 (liability). No cash moved and profit is untouched — the transaction that shows profit and cash are different things
39	b	**1 and 3 only.** Statement 2 is wrong — **one-sided** errors go through Suspense; two-sided errors are rectified by a complete journal entry
40	a	**Suspense Dr ₹4,000; Supplier Cr ₹4,000.** A wrong-**side** posting always needs **double** the amount: ₹2,000 to cancel the wrong debit, and ₹2,000 more to record the credit that should have been made. That is also why the trial balance was out by ₹4,000 on a ₹2,000 transaction — the internal consistency check on the stem. Since debits exceeded credits, Suspense carried a ₹4,000 **credit**, so it is now **debited** ₹4,000 and closes at nil. (b) and (d) use the single amount; (c) reverses the direction

THINK LIKE UPSC · THE DOUBLING RULE, AND HOW TO SPOT IT IN THE STEM

Q40 turns on one rule that is worth more than any other in error rectification: **a wrong-side posting must be corrected by twice the amount.** One unit to undo the entry that should never have been made, one unit to make the entry that should have been.

The examiner's whole design rests on it. The single amount (₹2,000) is offered twice, in options (a) and (d), because that is the intuitive wrong answer.

And the stem tells you the answer before you calculate. A ₹2,000 transaction has thrown the trial balance out by ₹4,000. That doubling is only possible from a wrong-side error, and it confirms both the rule and the amount. Whenever a difference is exactly twice a transaction figure, look for a posting on the wrong side — and when it is exactly *equal* to the figure, look for a one-sided omission instead.

9. One-Minute Revision

ONE-MINUTE REVISION · CHAPTER F6.1 — READ BEFORE EVERY ACCOUNTING SESSION

THE EQUATION Assets = Liabilities + Capital · Capital = Assets - Liabilities · expanded: Assets = Liabilities + Capital + Revenues - Expenses - Drawings. **It is an identity — failure to balance is always your error**

SCOPE WORDS Book-keeping (record) part of Accounting (+ summarise, interpret, communicate) part of Accountancy. Process: identify » journal » ledger » trial balance » interpret » final accounts

DOUBLE ENTRY Luca Pacioli, **1494**, Italian, codified not invented · Debit = left, Credit = right · debit carries **no** inherent direction

TRADITIONAL RULES Personal — debit the receiver, credit the giver · Real — debit what comes in, credit what goes out · Nominal — debit expenses and losses, credit incomes and gains

MODERN RULE AE = Debit to increase (Assets, Expenses). Liability, Capital, Revenue increase by credit

REPRESENTATIVE PERSONAL Outstanding Salary (liability) · Prepaid Insurance (asset) · Capital · Drawings. Judge the party, not the word in the title

DRAWINGS is not EXPENSE Drawings reduce capital directly, not profit · paying a creditor is not an expense either

DISCOUNTS Trade — on the invoice, **no separate entry** · Cash — recorded; Allowed = expense (debit), Received = income (credit)

BOOKS Journal = original/prime entry · Ledger = **principal**/final entry · Cash Book = **both journal and ledger** · contra marked **"C", not posted** · withdrawal for office = contra, for owner = drawings

SUBSIDIARY Purchases Book = credit purchases of **goods only** · credit purchase of an **asset** » **Journal Proper** · Sales Return = **Returns Inward** · Purchases Return = **Returns Outward** · debit note » supplier, credit note » customer · petty cash on the **imprest** system

TRIAL BALANCE A **statement**, not an account · methods: totals, balances, totals-cum-balances · agreement proves **arithmetical accuracy only**

FOUR ERRORS IT CANNOT CATCH complete omission · principle · compensating · correct amount to a wrong account of the **same class**. Master rule: **it detects only errors that make debits differ from credits**

SUSPENSE holds the unlocated difference · **one-sided** errors go through it · two-sided errors do not · closes at **nil** when all errors are found

DOUBLING RULE a wrong-**side** posting is corrected by **twice** the amount · difference = twice a figure » wrong side · difference = the figure » one-sided omission · difference divisible by **9** » transposition of digits

AS-1 ASSUMPTIONS going concern · consistency · accrual (**three**)

10. Five-Minute Wall Sheet

FIVE-MINUTE WALL SHEET · CHAPTER F6.1 — PUT THIS WHERE YOU CAN SEE IT

A = L + C — an identity, not a discovery. Imbalance = your error

AE = DEBIT TO INCREASE — Assets, Expenses. All else credit to increase

THREE GOLDEN RULES receiver/giver · comes in/goes out · expenses-losses/incomes-gains

PACIOLI 1494 — codified double entry, did not invent it

ORIGINAL vs PRINCIPAL Journal = original entry · Ledger = principal book

CASH BOOK = BOTH journal and ledger · contra = "C" · never posted

GOODS ONLY Purchases Book = credit purchases of goods · asset on credit » Journal Proper

INWARD = SALES RETURN · OUTWARD = PURCHASES RETURN (named from the goods' direction)

TRADE DISCOUNT NOT RECORDED · cash discount recorded

TRIAL BALANCE = ARITHMETIC ONLY — necessary, nowhere near sufficient (your dimensional-check analogy)

CANNOT CATCH: O-P-C-S Omission (complete) · **P**rinciple · **C**ompensating · **S**ame-class wrong account

ONE-SIDED » SUSPENSE · two-sided » complete journal entry · all found » nil

WRONG SIDE » DOUBLE THE AMOUNT · diff ÷ 9 » transposition

PRINCIPLE = CAPITAL/REVENUE MIX-UP — machinery to Purchases, installation wages to Wages

ONE LINE FOR THE INTERVIEW Double entry works because every transaction is recorded twice, in opposite directions, so the accounting equation is preserved by construction — which is why a balanced set of books proves arithmetic, and why detecting misclassification needs judgement rather than a trial balance.

ACTION · NEXT IN THE FOUNDATION TRACK

Chapter F6.2 — Accounting Concepts, Conventions and Standards, and Capital versus Revenue. It completes the two threads left open here: the *error of principle* in §6.2 depends on the capital versus revenue distinction, and AS-1's three fundamental assumptions were only named in Q15.

Before you move on, state without looking: the equation in all three forms, the AE rule, the four errors a trial balance cannot catch and the one rule behind them, why the Cash Book is both a journal and a ledger, and where the credit purchase of a computer is recorded. If any one of those is missing, re-read that section rather than continuing.